OCAD - ONE COMPANY A DAY

SERIES: FOOD AND BEVERAGE

PepsiCo, Inc.

PEP | NASDAQ

USD 132.63 per share

Closing price, Wednesday 28 October 2026, latest completed trading day



PEP daily closing price, 27 July 2026 to 28 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
29 October 2026	Arthur Faugeron	Food and Beverage	NASDAQ

Executive Summary

PepsiCo is a USD 98bn revenue branded snacks and beverages group whose international businesses and Frito-Lay still earn high returns, while its North American beverage business and a highly leveraged payout are the source of the pressure that has taken the share price 23 percent below its February 2026 high. At USD 132.63 the stock trades on 15.8 times consensus FY2026 core earnings and a 4.5 percent dividend yield, which is the lowest fiscal year-end earnings multiple since FY2021; the question the market is pricing is whether North America can return to volume growth without permanently lower margins.

Business

PepsiCo makes, markets and distributes snacks, foods and beverages worldwide through six reportable segments; North America (PFNA and PBNA) generated 59 percent of FY2025 net revenue of USD 93.9bn. It earns money by selling branded, high-frequency products to retailers, with Walmart and affiliates representing about 14 percent of FY2025 net revenue, using a direct-store-delivery network for snacks and a mix of company-owned and independent bottlers for beverages.

Financial Condition

Net revenue for the twelve months to the third quarter of 2026 was USD 98.2bn, up from USD 79.5bn in FY2021 (4.3 percent annual growth over FY2021 to FY2025), while the operating margin moved between 12.2 and 15.3 percent. Trailing EBITDA was USD 19.3bn, net income USD 10.9bn, operating cash flow USD 14.6bn and free cash flow (operating cash flow less capex) USD 10.5bn, a 10.7 percent margin; net debt was USD 41.2bn, or 2.1 times EBITDA.

Market Position

Coca-Cola is the main beverage rival, with about 20 percent of the US liquid refreshment beverage category against PepsiCo at about 16 percent (company filing, 2025 retail sales); in snacks PepsiCo competes with Mondelez, Mars, Kraft Heinz and Campbell’s, and in energy drinks with Monster and Red Bull. The main advantage is the combination of Frito-Lay’s scale and distribution reach with a global beverage franchise; the main weakness is a North American beverage business that earned a 3.9 percent operating margin in FY2025 after a USD 2.0bn brand impairment, and 13.3 percent in the first nine months of 2026.

Valuation

Market capitalization is USD 181.3bn and enterprise value USD 222.5bn. The stock trades on 16.6 times trailing GAAP earnings, 15.8 times consensus FY2026 core EPS of USD 8.40, 11.5 times EV/EBITDA, 14.8 times EV/EBIT, 17.3 times price to free cash flow and a 5.8 percent free cash flow yield, below all four peers on EV/EBITDA and above only Keurig Dr Pepper on forward earnings.

Investment Framework

WHAT IS ATTRACTIVE	Trailing earnings multiple of 16.6 times against 31.2 times at FY2021; free cash flow yield of 5.8 percent; 4.5 percent dividend yield; international organic growth and Asia Pacific convenient food volume up about 11 percent in the third quarter of 2026.
WHAT IS CONCERNING	Core EPS growth guidance cut to 2.5 to 3.5 percent for 2026 from the low end of 5 to 7 percent; North America beverage volume down about 2 percent in the third quarter; dividends of USD 7.6bn consumed 100 percent of FY2025 free cash flow; goodwill and intangibles exceed equity.
WHAT MUST GO RIGHT	North America volumes stabilize after the price, SKU and supply chain actions agreed with the activist shareholder; cost savings fund brand investment without a further margin reset; leverage stays near 2 times EBITDA.
WHAT COULD BREAK THE THESIS	A second guidance reduction, sustained negative volume in North America from consumer health trends or retailer pricing pressure, or a dividend payout that forces debt-funded distributions.
PRICED IN	At the current price the market is pricing approximately flat operating margins near 14.7 percent with base-case revenue growth of 2.5 to 3.5 percent at a 7.5 percent discount rate; that is a reasonable expectation, not a depressed one.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High: 54 percent gross margin, ROIC near 20 percent, diversified across six segments
Financial quality	Good but declining free cash flow cover of the dividend; cash conversion above 1.0 times net income
Competitive position	Strong in snacks and international beverages, contested in US carbonated soft drinks and energy
Growth profile	Low: organic revenue growth of about 3 percent guided for 2026, EPS growth 2.5 to 3.5 percent
Balance-sheet risk	Moderate: net debt 2.1 times EBITDA, interest cover 13.6 times, short-term debt USD 9.2bn
Valuation	Reasonable: multiples at the low end of the five-year range, but not distressed
Market and technical profile	Weak trend, low volatility: 23 percent below February peak, price near the 50-day average

Source: analyst assessment based on the figures in sections B and C.

A. About the Business

A1. Business Environment

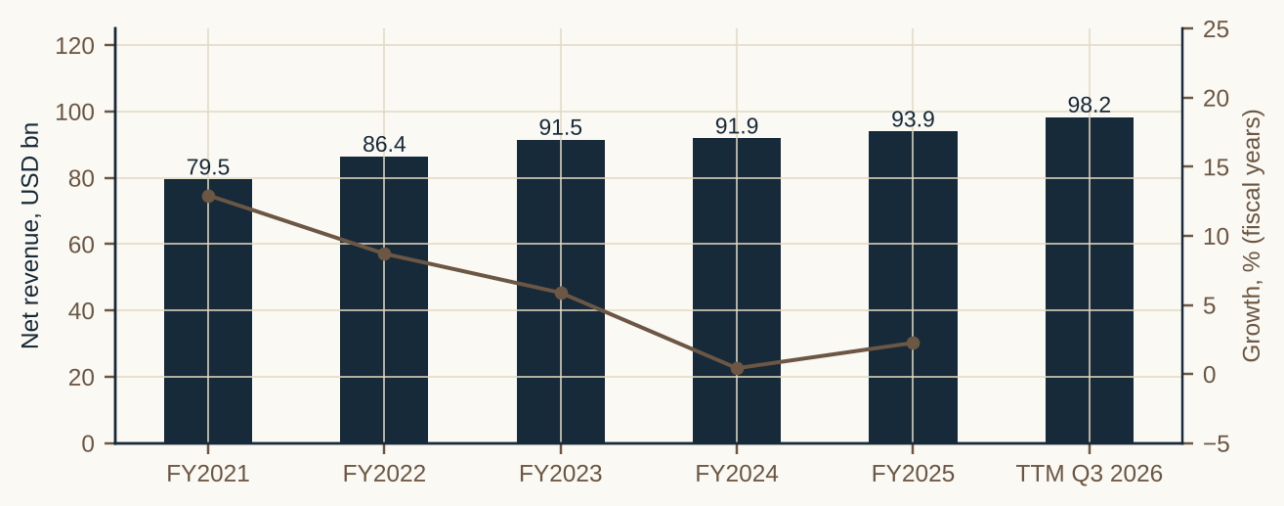
PepsiCo operates in branded convenient foods and non-alcoholic beverages, a business that converts agricultural inputs (potatoes, corn, wheat, oats, sugar, milk, cocoa, juice concentrates) and packaging (PET and other plastics, aluminum, glass, cardboard) into products sold to consumers through grocery, mass, club, convenience, food service and online channels. The value chain runs from raw materials and packaging suppliers, through manufacturing and concentrate production, to distribution (direct-store-delivery, customer warehouse, distributors and bottlers) and finally to retailers who control shelf space and price points. Value is created by brands that let a manufacturer set price, by scale in purchasing and manufacturing, and by distribution density that keeps shelves stocked; it is captured mostly by the brand owner in concentrate and snack manufacturing, and shared with bottlers and retailers in finished beverages.

Industry size varies by category. One research house values the global savory snacks market at USD 148.3bn in 2025 and projects USD 213.7bn by 2034, a compound growth rate of 4.1 percent, with Asia Pacific holding 49.8 percent of sales. In

the United States, PepsiCo's own filing places it at about 16 percent of the liquid refreshment beverage category by retail sales against 20 percent for Coca-Cola. A single beverage market size was not retrieved from a source that could be cited.

Capital intensity is moderate: PepsiCo spent 4.7 percent of revenue on capex in FY2025 and 4.2 percent over the trailing year, and guides below 5 percent for 2026. The industry is mildly cyclical because staples demand holds up in recessions, but 2026 shows that volume and price elasticity matter: management cut snack prices and North American beverage volume fell about 2 percent in the third quarter. Regulation matters through sugar and health taxes, labeling, packaging rules and tariffs; the 10-K lists GLP-1 weight-loss medications and health trends among the factors that could reduce future demand.

PepsiCo net revenue and annual growth, FY2021 to trailing twelve months to Q3 2026



Source: Alpha Vantage statement data from company filings. Units: USD bn; growth in percent for fiscal years.

INDUSTRY STAGE: MATURE AND STRUCTURALLY TRANSFORMING

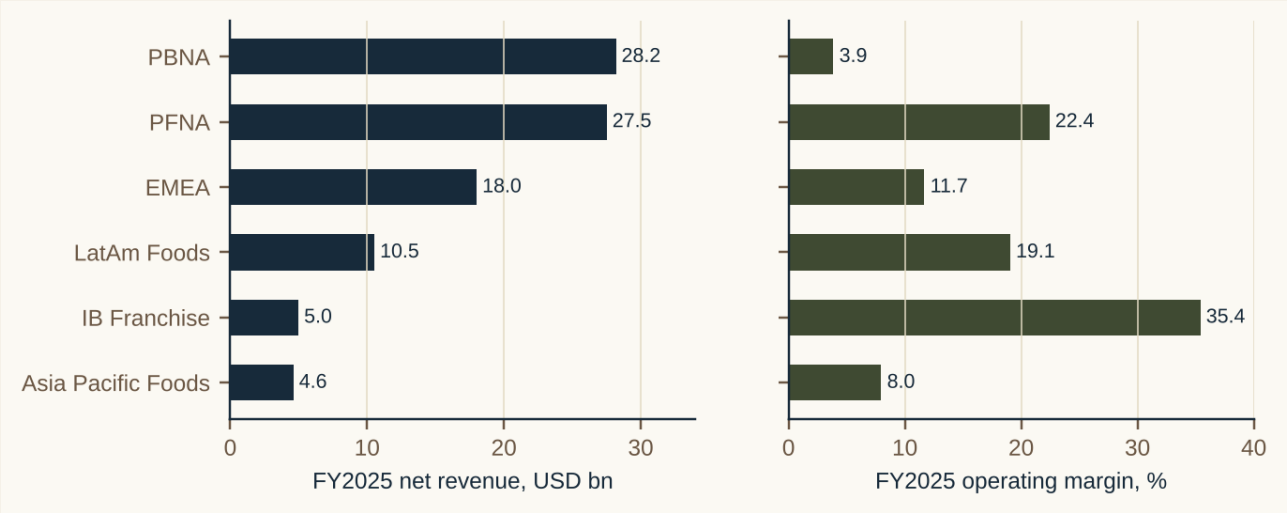
> Branded snacks and soft drinks in North America are mature: volume growth is flat to negative, and profit growth depends on price, mix and cost. International markets, energy drinks and functional categories are still growing. The transformation comes from consumer health preferences, retailer power, value brands and the cost of affordability. The classification is the analyst's judgement based on the volume trends reported in 2025 and 2026.

A2. What Does the Company Do?

PepsiCo operates six reportable segments. PepsiCo Foods North America (PFNA, FY2025 revenue USD 27.5bn) sells Frito-Lay snacks and Quaker foods, delivered mainly direct to store. PepsiCo Beverages North America (PBNA, USD 28.2bn) sells Pepsi-Cola, Gatorade, Mountain Dew, energy and newer brands, partly through company bottling plants and partly through concentrate sold to independent bottlers. International Beverages Franchise (IB Franchise, USD 5.0bn) sells concentrate to bottlers abroad and carries a 35 percent margin because it is a pure concentrate and brand licensing business. Europe, Middle East and Africa (EMEA, USD 18.0bn) combines snacks and beverages, Latin America Foods (USD 10.5bn) and Asia Pacific Foods (USD 4.6bn) sell convenient foods.

Revenue is recurring and high frequency: consumers buy snacks and drinks weekly, and pricing is set per pack and per case, so unit economics are driven by price per pound, price per case and mix of larger packs against single-serve. North America represents 59 percent of FY2025 net revenue; the remainder is international. Group operating costs are dominated by cost of sales (46 percent of revenue) and selling, general and administrative expense (40 percent, which includes advertising, distribution labor and route costs); depreciation and amortization were 4.4 percent of revenue.

FY2025 net revenue and operating margin by segment



Source: PepsiCo fourth quarter 2025 earnings release (Form 8-K exhibit). Units: USD bn and percent of segment net revenue. PBNA margin includes a USD 2.0bn intangible impairment, mainly the Rockstar brand.

How one dollar of revenue is used

Of each dollar of FY2025 net revenue, 46 cents went to cost of sales, 40 cents to selling, general and administrative expense, and 12.2 cents remained as operating profit after impairments (about 14 cents before the Rockstar and related charges); about 8.8 cents reached net income. Over the trailing year, operating cash flow was 14.8 cents per dollar of revenue, capex 4.2 cents, and free cash flow 10.7 cents, of which most is distributed as dividends.

1. CUSTOMER
Retailers (Walmart about 14 percent of FY2025 revenue), club, convenience, food service, e-commerce

2. PRODUCT AND SERVICE
Snacks and foods, carbonated drinks, sports drinks, energy, water, tea, juices; concentrate for bottlers

3. REVENUE
FY2025 net revenue USD 93.9bn; trailing twelve months USD 98.2bn

4. COSTS
Cost of sales 46 percent, SG&A 40 percent of FY2025 revenue

5. OPERATING PROFIT
FY2025 12.2 percent; trailing twelve months 15.3 percent

6. CASH FLOW
Trailing operating cash flow USD 14.6bn; free cash flow USD 10.5bn

7. CAPITAL ALLOCATION
Dividends USD 7.6bn, buybacks USD 1.0bn, acquisitions USD 3.4bn in FY2025

The most economically important parts are PFNA, which produced USD 6.2bn of FY2025 operating profit on 29 percent of revenue, and the international franchises (IB Franchise, EMEA, LatAm Foods) which together earned USD 5.9bn. PBNA's profit pool is large in revenue but thin in margin and is the swing factor for group earnings.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Walmart (including Sam's Club)	Largest customer, about 14 percent of FY2025 net revenue	Loss or repricing would be material to PFNA and PBNA, per the company filing
Independent bottlers and distributors	Buy concentrate and finished goods in selected markets; third-party distributors extend reach	Allows asset-light franchising abroad; Elliott has urged refranchising or separating bottling operations
Agricultural and packaging suppliers	Potatoes, corn, wheat, oats, sugar, milk, cocoa, nuts, PET, aluminum, glass	Commodity and packaging cost swings drive gross margin; 2026 guidance cites input cost inflation
Poppi and Siete	Acquired in 2025; poppi reported at USD 1.95bn	Entry into functional soda and better-for-you foods; acquisitions net of cash were USD 3.4bn in FY2025
Sabra	Wholly owned since December 2024 after buying Strauss Group's 50 percent stake	Consolidates the dips category in North America
Celsius and SodaStream	Minority stake in Celsius (announced 2022); SodaStream acquired 2018	Energy drink exposure and reusable-bottle carbonation
Elliott Investment Management	Activist shareholder with a stake of about USD 4bn disclosed in September 2025	Agreement of 8 December 2025 to cut about 20 percent of SKUs, lower prices and review the North America supply chain
Tropicana and Naked juices	Transferred under the Juice Transaction referenced in the FY2025 release	Portfolio simplification; terms were not retrieved

Source: PepsiCo FY2025 Form 10-K and fourth quarter 2025 release; Q3 2026 release; press coverage of the Elliott agreement (Food Business Africa, December 2025); Quartr and press reports for Celsius, SodaStream and poppi. Major institutional shareholders and insider ownership were not retrieved.

A4. Competition

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS, 26 AND 27 OCTOBER 2026

Company	Revenue, bn	Op. margin	EV/EBITDA	Net debt, bn	Fwd P/E
PepsiCo	98.2	15.3%	11.5x	41.2	15.8x
Coca-Cola	50.1	31.9%	25.1x	27.9	27.3x
Mondelez	39.7	11.8%	16.6x	20.3	19.6x
Keurig Dr Pepper	20.1	19.1%	16.6x	32.0	14.4x
Monster Beverage	9.2	30.5%	29.9x	net cash 3.3	37.9x

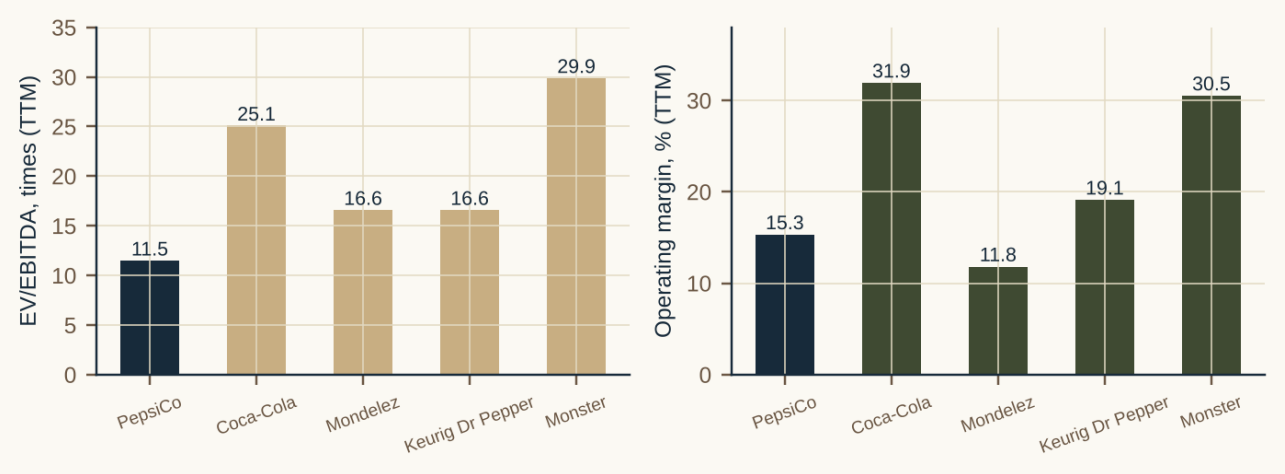
Source: StockAnalysis statistics pages for each company, 26 and 27 October 2026; PepsiCo calculated at the 28 October 2026 close. Coca-Cola has a concentrate-heavy model, which explains its higher margin and multiple.

Peers were chosen because they compete for the same shelf, fountain, convenience-store and club-channel dollars, not for classification. Coca-Cola is the direct beverage competitor and the closest comparison for PBNA and IB Franchise: it sells almost entirely concentrate and syrup, which gives it a 31.9 percent operating margin on half PepsiCo's revenue, and it trades on 25.1 times EV/EBITDA against 11.5 times for PepsiCo. Mondelez competes with Frito-Lay and the international snack businesses for snack occasions and has a similar margin profile at 11.8 percent. Keurig Dr Pepper is a US beverage competitor in carbonated and functional drinks with a levered balance sheet (net debt of USD 32.0bn on EBITDA of USD 4.8bn). Monster competes for the energy category in which PepsiCo's Rockstar was impaired, and illustrates what a brand-led energy franchise

earns: a 30.5 percent operating margin and a 29.9 times EV/EBITDA multiple. The 10-K also names Campbell's, Conagra, Hormel, Kraft Heinz, Mars, Nestle, Primo Brands, Red Bull and Utz as competitors in individual categories.

Relative to peers, PepsiCo has the largest revenue base and the lowest valuation. The gap to Coca-Cola reflects structure, not just sentiment: PepsiCo owns manufacturing, a snack delivery fleet and bottling plants, whereas Coca-Cola's bottler system carries those assets. The discount is therefore partly a margin and asset-intensity discount, and a refranchising decision of the kind Elliott suggested would narrow it only if reported margins rise.

Peer comparison: EV/EBITDA and operating margin



Source: StockAnalysis, 26 and 27 October 2026; PepsiCo calculated at the 28 October 2026 close. Units: times and percent; trailing twelve months.

A5. Competitive Differences

Advantages. PepsiCo's moat rests on distribution and scale rather than on a single brand. The direct-store-delivery network gets Frito-Lay product to retailers directly and is hard to replicate; the company filing calls it especially well suited to products that are restocked often. Brand strength is visible in a 54 percent gross margin that has stayed between 53.0 and 54.6 percent from FY2021 to FY2025 despite inflation, which implies pricing power over the cycle. The portfolio spans six segments, so no segment exceeds about 30 percent of revenue, and the concentrate model in IB Franchise earns a 35 percent margin. Capital access is strong: net debt of 2.1 times EBITDA and interest cover of 13.6 times.

Disadvantages. The operating margin is lower than that of concentrate-only rivals; SG&A absorbs 40 percent of revenue; Walmart is about 14 percent of revenue; and the North American portfolio is exposed to health trends and value-seeking consumers. The Rockstar impairment of USD 2.0bn shows that acquired brands do not always hold value. Management concedes North America required urgent action on innovation, brand building and execution.

Temporary against structural. Structural advantages are the snack delivery network, the concentrate franchise abroad and brand awareness. Temporary advantages are pricing: management is now cutting snack prices and about 20 percent of SKUs, which indicates that the pricing power of FY2022 and FY2023 has been partly used up.

MOAT ASSESSMENT: MODERATE TO STRONG

> Evidence for a strong moat: stable 54 percent gross margin, ROIC between 18 and 21 percent every year since FY2021, and a distribution network with few equivalents. Evidence against: operating margin has not expanded since FY2021 (14.0 percent in FY2021, 12.2 percent in FY2025 after impairment, 15.3 percent over the trailing year with one-off tariff refunds), organic growth has slowed to about 3 percent, and volume in North America is negative. The moat protects returns but has not produced growth.

A6. Industry Trend

Historical growth for PepsiCo has come mostly from price: reported revenue grew 8.7 percent in FY2022 and 5.9 percent in FY2023, then slowed to 0.4 percent in FY2024 and 2.2 percent in FY2025, with FY2025 organic growth of 1.7 percent and convenient foods volume down about 2 percent. For 2026 management guides organic growth of about 3 percent and net revenue growth of about 6 percent, including about 1.5 points from foreign exchange and 1.5 points from acquisitions net of divestitures. The third quarter of 2026 delivered organic growth of 3.1 percent with pricing of about 3 points and flat-to-negative volume in North America.

Structural trends: health consciousness and GLP-1 medications reduce discretionary snacking, and the company has responded with simpler ingredients, functional beverages and smaller or lower-priced packs; international markets keep growing, with Asia Pacific convenient foods volume up about 11 percent in the third quarter. Temporary conditions: higher packaging and transport costs linked to energy prices, a cautious lower-income US consumer and retailer pricing pressure. The trend would reverse favourably if volume returns to growth after the SKU and price actions; it would deteriorate if value-seeking behavior and private label permanently reset category pricing. The classification is mature with pockets of growth and consolidation at the edges, shown by the 2025 acquisitions of poppi and Siete and the divestment of juice brands.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Ramon Laguarta	Chairman and Chief Executive Officer	Born 1963 in Barcelona; ESADE and Thunderbird; Chupa Chups; joined PepsiCo in 1996; ran Europe and Sub-Saharan Africa from 2014; President 2017; CEO 2018; Chairman 2019
Steve Schmitt	Executive Vice President and Chief Financial Officer	Joined 10 November 2025 from Walmart U.S., where he was CFO; earlier Yum! Brands and more than ten years at UPS
Jamie Caulfield	Former Chief Financial Officer	Retired as CFO on 10 November 2025 after more than 30 years; advisor until 15 May 2026
Steven Williams	Vice Chairman, commercial and corporate affairs	Led PepsiCo Foods North America from 2019; joined through Quaker Oats in 2001
Eugene Willemsen	Chief Executive Officer, International Beverages	Listed as an executive officer; background not retrieved
Silviu Popovici	Chief Executive Officer, EMEA	Listed as an executive officer; background not retrieved

Source: PepsiCo press release of 2025 on the new Chief Financial Officer; StockAnalysis company profile; Quartr profile of Ramon Laguarta; Food Dive, 1 April 2019. Insider ownership was not retrieved.

Capital allocation. Between FY2021 and FY2025 PepsiCo paid USD 33.5bn of dividends against USD 35.4bn of cumulative free cash flow (operating cash flow less capex), so dividends absorbed 95 percent of free cash flow; buybacks were USD 1.0bn per year in FY2023 to FY2025, and net debt rose from USD 35.2bn to USD 40.7bn. Growth investments came through acquisitions: USD 3.4bn net in FY2025 against USD 0.3bn in FY2024. The dividend was raised 4 percent to USD 5.92 annualized from June 2026, and a new buyback authorization of up to USD 10bn through February 2030 was announced; only USD 1.0bn of 2026 repurchases is planned.

Execution and guidance. Management guided 4 to 6 percent core constant-currency EPS growth in February 2026, moved to the low end of that range, then cut it to 1 to 2 percent at the third quarter, a reset of roughly 3 points within eight months. FY2025 core EPS was USD 8.14, flat in constant currency, and the 2019 Productivity Plan has been extended to the end of 2030, which means cost programs have been recurring rather than one-time. The third-quarter core operating profit also included about 4 points of one-off tariff refunds according to press coverage, so the underlying quarter was weaker than the headline.

Alignment. Compensation and insider ownership were not retrieved, so alignment with shareholders cannot be measured. The Elliott agreement of December 2025 and continuing board refreshment suggest governance pressure is currently working in

shareholders' favour. The CFO appointment from Walmart brings retailer and cost-discipline experience at the moment that pricing and cost savings are central.

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 2026
Gross margin	53.3%	53.0%	54.2%	54.6%	54.1%	54.2%
EBITDA margin	18.7%	17.3%	17.2%	18.2%	16.5%	19.6%
Operating margin	14.0%	13.3%	13.1%	14.0%	12.2%	15.3%
Net margin	9.6%	10.3%	9.9%	10.4%	8.8%	11.1%
ROE, net income over average equity	47.5%	53.5%	50.7%	52.4%	42.9%	51.1%
ROA, net income over average assets	8.2%	9.7%	9.4%	9.6%	8.0%	9.9%
ROIC, as published by the data vendor	18.1%	19.5%	20.6%	21.4%	20.1%	19.7%
Interest cover, EBIT over interest	6.0x	12.3x	14.6x	14.0x	10.3x	13.6x

Source: calculated from Alpha Vantage statement data; ROIC from StockAnalysis ratio history (fiscal year ends and the 27 October 2026 snapshot). ROE and ROA use the average of opening and closing balances, except FY2021 which uses the closing balance. ROE is inflated by the small equity base after years of dividends and buybacks and should not be read as ROIC.

Gross margin has been steady at 53 to 55 percent, which shows that pricing has so far offset input costs. Operating margin fell from 14.0 percent in FY2021 to 13.1 percent in FY2023, rose to 14.0 percent in FY2024, and dropped to 12.2 percent in FY2025 because of USD 2.0bn of intangible impairments (mainly Rockstar) and higher restructuring; the trailing 15.3 percent is flattered by the absence of those charges in the last four quarters and by tariff refunds. ROIC of about 20 percent is the better measure of business quality than ROE of 40 to 50 percent, which results from an equity base reduced by years of dividends and buybacks.

Growth over FY2021 to FY2025: revenue grew 4.3 percent annually, EBITDA 1.1 percent, operating profit 0.7 percent, net income 2.0 percent and free cash flow (operating cash flow less capex) 2.4 percent. Revenue growth has not translated into profit growth, which is the key weakness in the record. Per-share figures are less affected by buybacks, since the share count fell only from 1,389 million to 1,367 million.

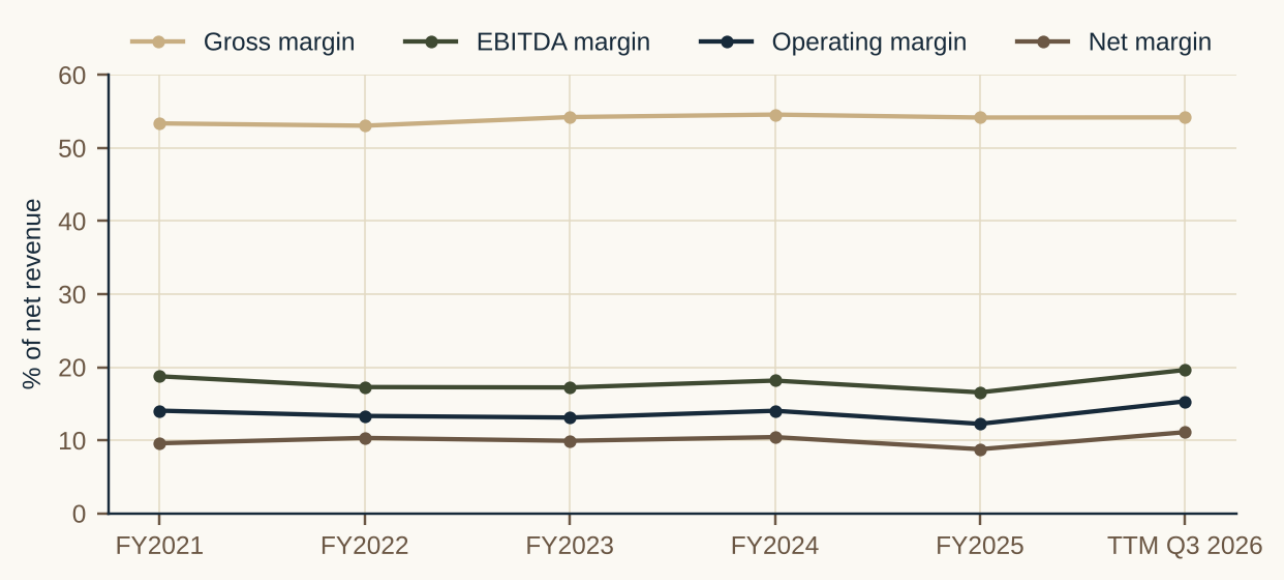
EFFICIENCY AND LEVERAGE

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 2026
Asset turnover, revenue over average assets	0.86x	0.94x	0.95x	0.92x	0.91x	0.90x
Inventory turnover, cost of sales over average inventory	8.5x	8.5x	7.9x	7.8x	7.7x	n.a.
Receivable days, receivables over revenue	40	43	43	41	45	n.a.
Total debt over EBITDA	2.74x	2.65x	2.83x	2.69x	3.21x	2.69x
Net debt over EBITDA	2.36x	2.32x	2.22x	2.18x	2.62x	2.14x
Debt over equity	2.54x	2.29x	2.41x	2.49x	2.45x	2.33x
Current ratio	0.83x	0.80x	0.85x	0.82x	0.85x	0.94x

Source: calculated from Alpha Vantage balance sheet and income statement data. The TTM column uses the 2026 third quarter balance sheet and trailing four quarter EBITDA; PepsiCo reports quarters on a fiscal calendar (third quarter ended 5 September 2026) while data providers map them to calendar quarter ends. Receivable days and inventory turnover are not computed on a trailing basis because the balance sheet is seasonal.

Leverage is moderate and stable: net debt over EBITDA was 2.4 times in FY2021, 2.2 times in FY2023 and FY2024, 2.6 times in FY2025 after the poppi and Siete purchases and lower EBITDA, and 2.1 times on the trailing figures. Interest expense rose from USD 0.8bn in FY2023 to USD 1.1bn in FY2025 as debt refinanced at higher rates.

Gross, EBITDA, operating and net margins



Source: Alpha Vantage statement data from company filings. Units: percent of net revenue. Period: FY2021 to trailing twelve months to Q3 2026.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	North America volume decline	High	High	PBNA volume fell about 2 percent in Q3 2026; PFNA organic revenue fell 2 percent in FY2025; the two segments are 59 percent of revenue
2	Margin reset from price investment and input costs	High	High	Snack prices cut, SKUs reduced by about 20 percent, packaging and transport costs elevated; core EPS guidance already cut
3	Structural demand shift	Medium	High	GLP-1 medications and health preferences reduce snacking and sugary drink demand; cited in the 10-K
4	Dividend coverage and leverage	Medium	Medium	Dividends equalled 100 percent of FY2025 free cash flow; short-term debt USD 9.2bn; net debt 2.1 times EBITDA
5	Customer concentration	Medium	Medium	Walmart about 14 percent of revenue; loss would be material to PFNA and PBNA
6	Brand impairment and acquisition risk	Medium	Medium	USD 2.0bn impairment in FY2025; USD 3.4bn acquisitions; goodwill and intangibles are 30 percent of assets
7	Regulation and taxes	Medium	Medium	Sugar taxes, tariffs, packaging rules; 2026 core tax rate guided to about 21 percent
8	Currency and macro	Medium	Low	Foreign exchange added about 1.5 points to 2026 growth; reverses if the dollar strengthens

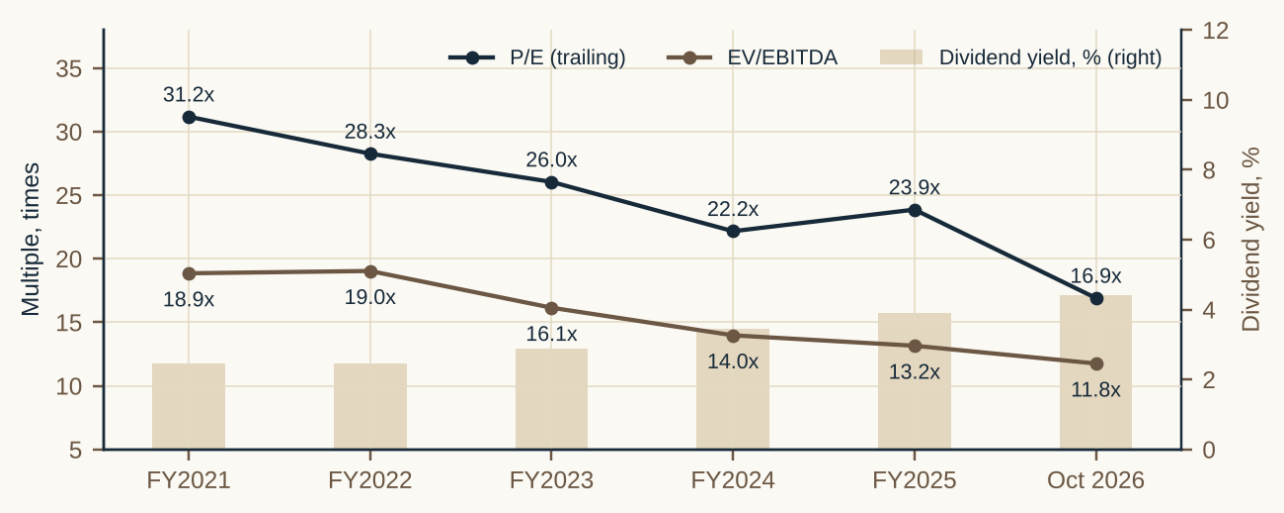
Source: analyst ranking based on PepsiCo FY2025 Form 10-K risk factors, Q3 2026 release and the financial statements in section C.

The three risks most capable of permanently impairing shareholder value are the structural decline of North American volume, a permanent reset of margins from price investment, and a distribution policy that outruns free cash flow. Valuation risk is lower than for most staples because the multiple has already compressed from 31.2 times to 16.9 times earnings; the risk is earnings, not multiple.

B3. Valuation

At USD 132.63, market capitalization is USD 181.3bn (1,367 million shares) and enterprise value USD 222.5bn after USD 41.2bn of net debt. Multiples: P/E 16.6 times trailing GAAP earnings and 16.3 times FY2025 core EPS of USD 8.14; 15.8 times consensus FY2026 core EPS of USD 8.40 and 15.4 times FY2027 consensus of USD 8.64; EV/EBITDA 11.5 times; EV/EBIT 14.8 times; EV/sales 2.3 times; P/FCF 17.3 times; FCF yield 5.8 percent; dividend yield 4.5 percent. GAAP trailing multiples benefit from the absence of the FY2025 impairment in the last four quarters, so core multiples are the cleaner comparison.

PepsiCo valuation history: trailing P/E, EV/EBITDA and dividend yield

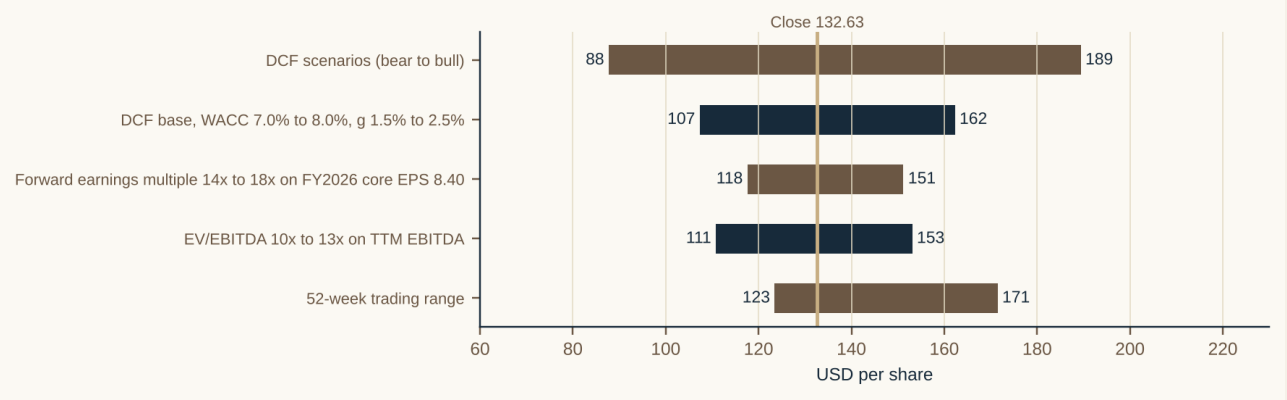


Source: StockAnalysis ratio history at fiscal year ends and 27 October 2026. Units: times and percent. Values use the provider's methodology and differ slightly from the analyst calculations in the text.

Against its own history the multiple has fallen from 31.2 times earnings and 18.9 times EV/EBITDA in FY2021 to 16.9 times and 11.8 times, while the dividend yield has risen from 2.5 to 4.4 percent. Against peers PepsiCo is cheaper than Coca-Cola (25.1 times EV/EBITDA), Mondelez (16.6 times) and Monster (29.9 times), and similar to Keurig Dr Pepper on forward earnings (14.4 times) with a stronger balance sheet; the discount to Coca-Cola reflects lower margins and a more asset-heavy model.

Reverse DCF. Holding the base-case revenue path (growth of 2.5 to 3.5 percent a year), a WACC of 7.5 percent and terminal growth of 2.0 percent, the current price is consistent with a flat operating margin of about 14.7 percent, against 15.3 percent over the trailing year and a base case of 14.0 to 14.5 percent. Alternatively, with base margins the price implies a discount rate near 7.4 percent or flat annual revenue growth of about 3.6 percent. These expectations appear reasonable: they do not require margin expansion, but they do require that North American margins stop falling.

Valuation ranges per share



Source: analyst model and multiples applied to trailing EBITDA of USD 19.3bn, net debt USD 41.2bn, 1,367 million shares, consensus FY2026 core EPS of USD 8.40 (StockAnalysis, 16 October 2026) and the 52-week price range. Units: USD per share.

B4. Capital Market and Stock Analysis

PEP closed at USD 132.63 on 28 October 2026, down 0.7 percent on the day. The stock is 22.7 percent below the 52-week high of USD 171.48 (13 February 2026) and 7.4 percent above the 52-week low of USD 123.47 (7 October 2026, the day before the third-quarter results).

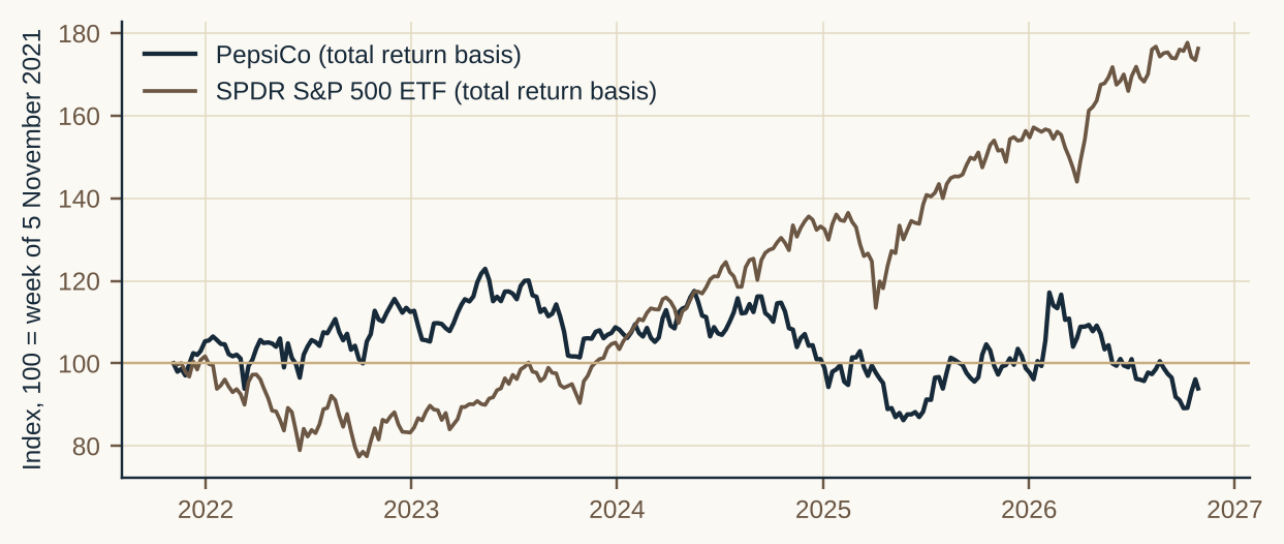
TOTAL RETURN VERSUS BENCHMARK

Period to 28 Oct 2026	PepsiCo	S&P 500 ETF	Difference, points
1 day	-0.7%	n.a.	n.a.
1 week	-2.3%	1.6%	-3.9
1 month	5.4%	0.3%	5.0
3 months	-3.9%	3.6%	-7.6
6 months	-13.9%	7.7%	-21.7
Year to date	-5.0%	12.8%	-17.7
1 year	-5.5%	14.5%	-20.0
3 years	-11.4%	84.2%	-95.6
5 years	-6.1%	76.3%	-82.3

Source: Alpha Vantage weekly adjusted close (dividends reinvested) for PEP and the SPDR S&P 500 ETF (SPY); 1 day uses the daily close. Periods are measured from the nearest weekly observation. Calculated by the analyst.

Over the last six months the stock lost 13.9 percent while the S&P 500 ETF gained 7.7 percent; over five years PepsiCo’s total return is minus 6.1 percent against 76.3 percent. This is a prolonged period of absolute and relative underperformance, with a modest one-month recovery of 5.4 percent from the October low.

PepsiCo against the S&P 500 ETF, five years, total return basis



Source: Alpha Vantage weekly adjusted close, 5 November 2021 to 28 October 2026. Units: index, first week equals 100.

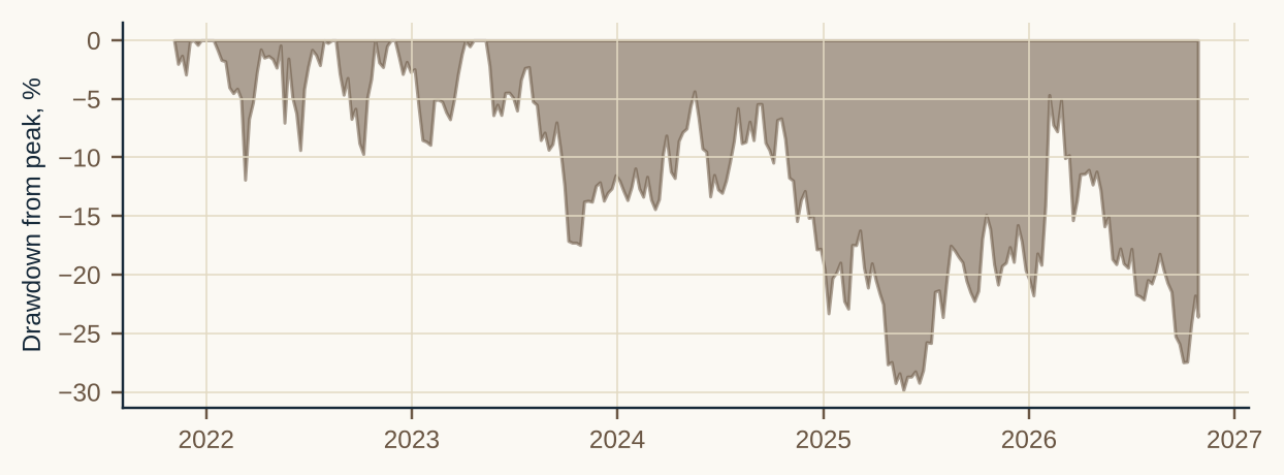
VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 1 year	21.9%	Weekly returns, calculated
Annualized volatility, 3 years	19.0%	Weekly returns, calculated
Annualized volatility, 5 years	18.4%	Weekly returns, calculated
Downside volatility, 3 years	12.8%	Negative weekly returns only, calculated
Beta versus S&P 500 ETF, 5 years	0.30	Weekly returns, calculated; correlation 0.26
Beta versus S&P 500 ETF, 3 years	0.07	Weekly returns, calculated; correlation 0.05
Beta, 5 years, published	0.36	StockAnalysis, 27 October 2026
Maximum drawdown, 5 years	minus 29.8%	12 May 2023 to 23 May 2025, weekly closes
Current drawdown from the February 2026 peak	minus 23.6%	Adjusted close, calculated

Source: Alpha Vantage weekly adjusted prices for PEP and SPY; StockAnalysis for published beta. Calculated by the analyst.

Drawdowns have been long: the 5-year maximum drawdown of 29.8 percent took two years from peak to trough, and the stock has not recovered the prior peak. The correlation to the market is very low, so PepsiCo has behaved as a defensive asset in volatility terms but not in return terms.

PepsiCo drawdown from running peak, five years



Source: Alpha Vantage weekly adjusted close, 5 November 2021 to 28 October 2026. Units: percent below prior high.

Technical structure. The close of USD 132.63 is 0.8 percent below the 50-day average (USD 133.76) and 7.9 percent below the 40-week average of USD 143.94, which is used as the closest equivalent to a 200-day average from weekly data. The 14-day RSI is 52, neutral; the MACD line (0.85) is above its signal line (0.07), a modest recovery from the October low; the 14-day average true range is USD 2.79, or 2.1 percent of the price. Average daily volume over 20 days (10.0 million) is above the 60-day average (8.6 million), reflecting heavy trading on the results day, 8 October (24.0 million shares). Support appears near the USD 123.47 and USD 124.05 lows of 7 and 8 October, and resistance near USD 139 (22 October high) and the 40-week average. The technical picture is a base after a downtrend, not yet a confirmed reversal; it describes price behavior and does not alter the fundamental valuation.

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, USD BN

USD bn unless stated	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 2026
Net revenue	79.5	86.4	91.5	91.9	93.9	98.2
Reported growth	12.9%	8.7%	5.9%	0.4%	2.3%	n.a.
Gross profit	42.4	45.8	49.6	50.1	50.9	53.2
Operating profit (EBIT)	11.2	11.5	12.0	12.9	11.5	15.1
EBITDA	14.9	14.9	15.8	16.7	15.5	19.3
Interest expense	1.86	0.94	0.82	0.92	1.12	1.11
Income tax	2.14	1.73	2.26	2.32	1.95	n.a.
Net income	7.62	8.91	9.07	9.58	8.24	10.91

Source: company annual and quarterly filings via Alpha Vantage statement data; fiscal years end in late December. TTM is the sum of the four reported quarters to the third quarter of 2026 (Q4 2025 plus Q1 to Q3 2026); n.a. means not applicable or not retrieved. Net income is as reported by the data provider and includes non-controlling interests; FY2025 net income attributable to PepsiCo was USD 8.24bn.

Revenue rose from USD 79.5bn in FY2021 to USD 93.9bn in FY2025, with price the dominant driver: FY2025 reported growth of about 2 percent included organic growth of 1.7 percent, with segment organic growth of minus 2 percent at PFNA, plus 1 percent at PBNA, plus 6 percent at EMEA and plus 4.5 percent at LatAm Foods. In the first nine months of 2026, revenue grew 6.7 percent but organic growth was 2.7 percent, so about four points came from foreign exchange and acquisitions (poppi and Siete). Operating profit in FY2025 was USD 11.5bn, down 10.8 percent, because of USD 2.0bn of intangible impairments;

GAAP diluted EPS was USD 6.00 against USD 6.95 in FY2024, and core EPS of USD 8.14 was flat in constant currency. For the nine months of 2026, operating profit rose 45 percent to USD 11.5bn, GAAP EPS rose 47 percent to USD 6.10 and core EPS rose 5 percent to USD 6.15, so the GAAP growth is a recovery from the 2025 impairment and not an improvement in the underlying business. In the third quarter, core EPS rose 2 percent to USD 2.34 while GAAP operating profit rose 19 percent to USD 4.26bn.

Operating leverage has been weak: FY2021 to FY2025 revenue rose 18 percent while operating profit rose 3 percent; SG&A at 40 percent of revenue absorbed the gross profit gains. Margins have been stable to contracting before the 2026 recovery. The adjusted measures (core EPS and core operating profit) exclude restructuring, impairments and mark-to-market items; they should be reconciled to GAAP, and over FY2025 the difference was large (core EPS USD 8.14 against GAAP USD 6.00, a gap of 36 percent), so core figures are not interchangeable with reported profit.

C2. Balance Sheet

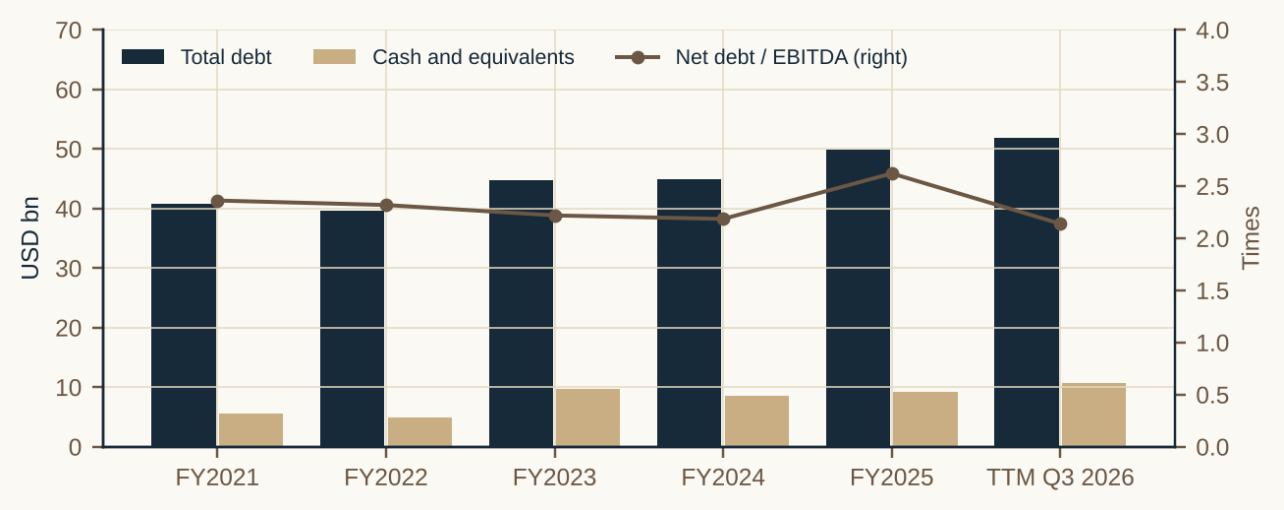
BALANCE SHEET SUMMARY, USD BN

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 2026
Cash and equivalents	5.6	5.0	9.7	8.5	9.2	10.7
Receivables	8.7	10.2	10.8	10.3	11.5	13.6
Inventory	4.3	5.2	5.3	5.3	5.8	6.4
Goodwill	18.4	18.2	17.7	17.5	18.9	18.9
Other intangible assets	18.7	15.6	14.9	14.8	15.1	15.1
Total assets	92.4	92.2	100.5	99.5	107.4	112.0
Total debt	40.8	39.6	44.7	44.9	49.9	51.9
Total liabilities	76.2	74.9	81.9	81.3	86.9	89.5
Shareholders equity	16.0	17.3	18.5	18.0	20.4	22.3
Net debt	35.2	34.6	35.0	36.4	40.7	41.2
Goodwill and intangibles over equity	2.31x	1.96x	1.76x	1.79x	1.67x	1.53x
Equity ratio, equity over assets	17.4%	18.7%	18.4%	18.1%	19.0%	19.9%

Source: Alpha Vantage balance sheet data; the last column is the balance sheet at the end of the third quarter of 2026 (5 September 2026 on the company calendar). Total debt includes short-term borrowings, current maturities and long-term debt; lease obligations are not separately added.

Total assets were USD 112.0bn at the end of the third quarter of 2026, with goodwill of USD 18.9bn and other intangibles of USD 15.1bn, together 30 percent of assets and 1.5 times equity, which makes tangible equity negative. Total debt was USD 51.9bn against cash of USD 10.7bn, giving net debt of USD 41.2bn; USD 9.2bn of debt is short term, comfortably covered by cash. The current ratio was 0.94 times and the quick ratio (cash plus receivables over current liabilities) 0.70 times, which is typical of a staples company that finances working capital through supplier credit; the equity ratio is 19.9 percent.

Total debt, cash and net debt over EBITDA



Source: Alpha Vantage balance sheet and income statement data; net debt over EBITDA calculated. Units: USD bn and times. The last bar is the third quarter of 2026 balance sheet against trailing EBITDA.

Red flags to monitor: goodwill and intangible concentration (further impairments are possible if brands such as poppi or Siete underperform), receivables up from USD 11.5bn at FY2025 to USD 13.6bn at the third quarter (seasonally strong third-quarter sales, comparison to the same quarter of 2025 not retrieved), inventory up from USD 5.8bn to USD 6.4bn, and refinancing needs of USD 9.2bn within a year. Off-balance-sheet obligations and pension details were not retrieved from the filings.

C3. Cash Flow Statement

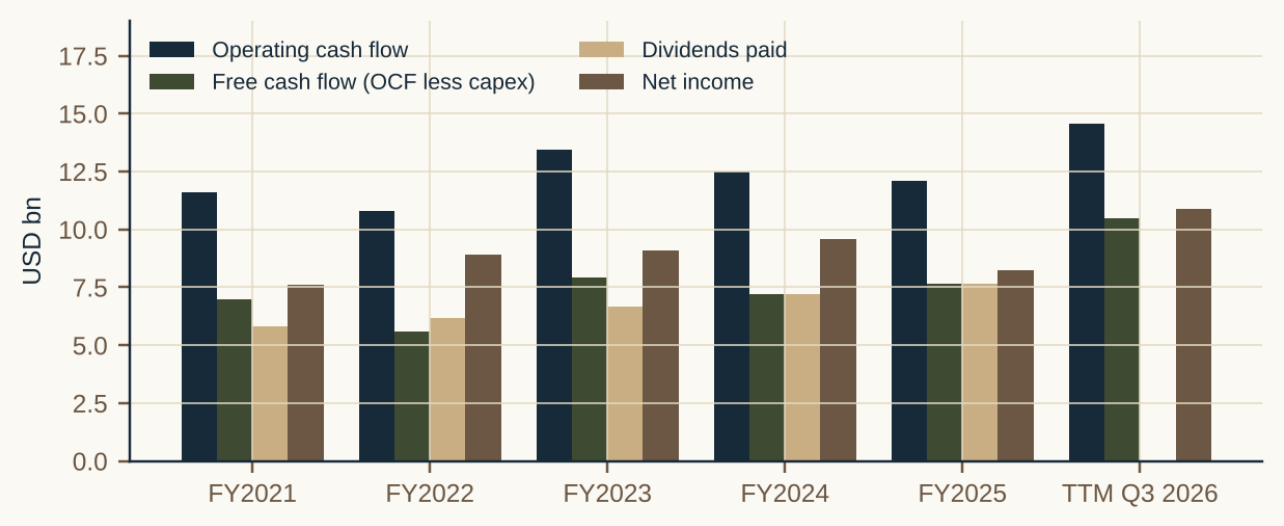
CASH FLOW SUMMARY, USD BN

USD bn unless stated	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Q3 2026
Operating cash flow	11.6	10.8	13.4	12.5	12.1	14.6
Capital expenditure	-4.6	-5.2	-5.5	-5.3	-4.4	-4.1
Free cash flow (OCF less capex)	7.0	5.6	7.9	7.2	7.7	10.5
FCF margin	8.8%	6.5%	8.7%	7.8%	8.2%	10.7%
OCF over net income	1.52x	1.21x	1.48x	1.31x	1.47x	1.34x
Capex over revenue	5.8%	6.0%	6.0%	5.8%	4.7%	4.2%
Dividends paid	5.8	6.2	6.7	7.2	7.6	n.a.
Share repurchases	0.1	1.5	1.0	1.0	1.0	n.a.
Dividends over free cash flow	83%	110%	84%	101%	100%	n.a.

Source: Alpha Vantage cash flow data; share repurchases from the company cash flow statements as retrieved. Free cash flow here is operating cash flow less capital expenditure; the company definition also adds proceeds from sales of property, plant and equipment (USD 8.20bn for FY2025). Dividends over free cash flow above 100 percent indicate dividends funded partly by debt or cash balances.

Operating cash flow was USD 12.1bn in FY2025 against net income of USD 8.2bn (1.47 times), because the net income figure includes USD 2.0bn of non-cash impairments and USD 4.2bn of depreciation and amortization; accounting earnings are therefore supported by cash. Over the trailing year free cash flow rose to USD 10.5bn (10.7 percent of revenue) from USD 7.7bn in FY2025 as capex fell to 4.2 percent of revenue. For the first nine months of 2026 the company reports operating cash flow of USD 7.95bn against USD 5.47bn, capex of USD 2.18bn and free cash flow (company definition) of USD 5.86bn against USD 3.24bn; dividends were USD 5.94bn and buybacks USD 0.74bn.

Operating cash flow, free cash flow, dividends and net income



Source: Alpha Vantage cash flow data from company filings. Units: USD bn. Dividends not shown for the trailing twelve months.

The weakness is cover of the distribution: dividends were 100 percent of free cash flow in FY2025 and 95 percent over five years, and the 2026 plan of USD 7.9bn of dividends plus USD 1.0bn of buybacks equals about 85 percent of trailing free cash flow of USD 10.5bn. The company guides free cash flow conversion of at least 80 percent. Quarterly cash flow is seasonal, with the first quarter close to zero (USD 41m in the first quarter of 2026 and minus USD 973m in 2025), so annual figures should be used.

C4. Forecasting and Projections

Revenue base. Management guides FY2026 organic growth of about 3 percent and net revenue growth of about 6 percent, with 1.5 points from currency and 1.5 points from acquisitions net of divestitures; consensus is USD 99.3bn for FY2026 and USD 101.8bn for FY2027 (2.5 percent growth). The model uses FY2026 revenue of USD 99.3bn and growth of 2.5 percent in FY2027, 3.5 percent in FY2028 to FY2030 and 3.0 percent in FY2031, which brings in a gradual recovery of North American volume plus continued international growth, with no further acquisitions.

Margins. The base case holds the operating margin at 14.0 percent in FY2027, rising to 14.5 percent by FY2031 as productivity savings fund brand support. This is below the 15.3 percent trailing margin, which includes tariff refunds, and below the third-quarter margin of 16.9 percent, which is seasonally the strongest quarter; it is above the FY2025 margin of 12.2 percent, which included impairments. Gross margin is assumed stable at about 54 percent, SG&A efficiency comes from the supply chain review, and R&D is not separately disclosed.

Working capital and capex. Working capital is assumed to absorb 5 percent of incremental revenue. Capex is held at 4.5 percent of revenue, equal to depreciation and amortization, consistent with guidance of below 5 percent; the split between maintenance and growth capex was not retrieved.

SCENARIO VALUATION, FY2027 TO FY2031 FORECAST

Scenario	Avg growth	FY31 margin	FY31 revenue	FY31 FCFF	WACC / g	Per share
Bear	1.9%	13.0%	109.1	11.1	8.0% / 1.5%	88
Base	3.2%	14.5%	116.2	13.1	7.5% / 2.0%	130
Bull	4.5%	16.5%	123.7	15.9	7.0% / 2.2%	189

Source: analyst model. Revenue and free cash flow to the firm (FCFF) in USD bn; per share value in USD. These are valuation ranges under stated assumptions and are not price targets or predictions.

Bear: growth 1.5 to 2.0 percent, margin falling to 13.0 percent, WACC 8.0 percent and terminal growth 1.5 percent. Bull: growth of 3.5 to 5.0 percent, margin rising to 16.5 percent, WACC 7.0 percent and terminal growth 2.25 percent. The sensitivities for margin and growth, and for the discount rate and terminal growth, follow in section C5.

SENSITIVITY, VALUE PER SHARE IN USD: OPERATING MARGIN (ROWS) AGAINST ANNUAL REVENUE GROWTH (COLUMNS)

Operating margin	1%	2%	3%	4%	5%
13.0%	102	107	112	118	124
14.0%	112	118	124	130	136
15.0%	122	128	135	141	148
16.0%	132	139	146	153	160
17.0%	142	149	157	165	173

Source: analyst model; WACC 7.5 percent and terminal growth 2.0 percent held constant; margin and growth held flat across the five forecast years from a FY2026 revenue base of USD 99.3bn.

C5. Discounted Cash Flow (DCF) Model

Method. Free cash flow to the firm (FCFF) equals operating profit times one minus the tax rate, plus depreciation and amortization, less capex and less the change in working capital. The forecast covers FY2027 to FY2031 with a Gordon growth terminal value, and cash flows are discounted at year end from the end of FY2026.

Base-case assumptions. Revenue USD 99.3bn in FY2026, growth of 2.5, 3.5, 3.5, 3.5 and 3.0 percent; operating margin 14.0, 14.2, 14.3, 14.5 and 14.5 percent; tax 21 percent (company guidance for the 2026 core rate); depreciation and amortization 4.5 percent and capex 4.5 percent of revenue; working capital 5 percent of incremental revenue; WACC 7.5 percent; terminal growth 2.0 percent. FCFF is USD 11.1bn in FY2027 rising to USD 13.1bn in FY2031; the terminal value accounts for 78

percent of enterprise value. Enterprise value is USD 218.7bn, from which net debt of USD 41.2bn (third quarter of 2026) is deducted, giving equity value of USD 177.5bn, or USD 130 per share on 1,367 million shares. WACC is an assumption: the 5-year published beta of 0.36 would imply a lower cost of equity than 7.5 percent, so the rate includes a premium for the estimate uncertainty and the leverage of 2.1 times EBITDA.

SENSITIVITY, BASE CASE VALUE PER SHARE IN USD: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS)

WACC	1.0%	1.5%	2.0%	2.5%	3.0%
6.5%	136	149	166	186	213
7.0%	122	133	146	162	183
7.5%	110	119	130	143	159
8.0%	100	107	116	127	140
8.5%	91	97	105	114	124

Source: analyst model using the assumptions stated below. Values are equity value per share after deducting net debt of USD 41.2bn, on 1,367 million shares. The range is an illustration of assumption sensitivity, not a price forecast.

The range for WACC of 7.0 to 8.0 percent and terminal growth of 1.5 to 2.5 percent is USD 107 to USD 162 per share around a central value of USD 130; the scenarios give USD 88 in the bear case and USD 189 in the bull case. The price of USD 132.63 sits at the centre of the base case. Because terminal value is about four fifths of the total, a change in the margin assumption of one percentage point changes the value by about USD 11 per share. The model does not value minority interests, pensions or leases separately and does not apply any discount for the dividend payout, so it should be read as a range for debate rather than a point estimate of intrinsic value.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an enterprise value of USD 222.5bn and net debt already at USD 41.2bn, no financial sponsor could assemble the equity and debt needed for a buyout, and an LBO analysis would not inform the valuation.

D. Investment Thesis

Bull Case

Under the bull scenario North American volume returns to growth after the price, SKU and supply chain changes; operating margin rises from about 14.5 percent to 16.5 percent by FY2031 as savings from the extended productivity plan exceed reinvestment; revenue grows at 3.5 to 5.0 percent a year with international and functional beverages (poppi) contributing; capital allocation shifts to buybacks under the USD 10bn authorization; and the valuation recovers toward the FY2024 multiple of 14 times EV/EBITDA. Valuation range under these assumptions is about USD 189 per share, which is not a forecast.

Bear Case

In the bear scenario volume in North America continues to fall by low single digits, price investment compresses the margin to 13 percent, the dividend remains close to 100 percent of free cash flow so net debt grows, a further guidance cut disappoints, and consumers shift toward lower-priced and healthier alternatives. Revenue grows 1.5 to 2.0 percent, the multiple stays near the October 2026 level of 11.5 times EV/EBITDA, and the discount rate rises to 8.0 percent; the scenario value is about USD 88 per share. The bear case does not assume a dividend cut but would make one more likely.

Base Case

The base case assumes organic growth near 3 percent, an operating margin of 14.0 to 14.5 percent, core EPS growth of 3 percent a year (consensus FY2026 USD 8.40 and FY2027 USD 8.64), capex of 4.5 percent of revenue and a dividend rising about 4 percent a year. The scenario value of about USD 130 per share is close to the market price, which indicates that the stock is fairly valued if management delivers the plan and not materially mispriced in either direction.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Fourth quarter and FY2026 results	Early 2027, date not retrieved	First test of the revised guidance and the 2027 outlook
Additional structural cost reductions	Announced as coming in the next months	Funds brand investment and offsets input costs, per management
North America supply chain review and SKU reduction	Through 2026 and 2027	Potential plant closures and margin benefit; Elliott agreement
Bottling or portfolio decisions	Not scheduled	Refranchising or divestitures could change the margin and capital profile
Buyback under new authorization	Through February 2030	USD 10bn authorization against USD 1.0bn planned for 2026
Tariff and energy cost developments	Ongoing	Tariff refunds helped Q3 2026; energy-linked costs hurt

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
PBNA and PFNA volume	59 percent of revenue; drives operating leverage	Flat to positive volume	Further declines of 2 percent or more
Core operating margin	Tests whether price cuts are funded by savings	Stable or rising from 2026	Decline after one-off refunds
Dividend over free cash flow	Distribution capacity	Below 85 percent	Above 100 percent
Net debt over EBITDA	Balance-sheet flexibility	Below 2.1 times	Above 2.6 times
Guidance revisions	Management credibility	Maintained or raised	Another cut to core EPS growth
Impairments	Quality of acquisitions	None	Further brand write-downs

E. Final Investment Framework

BUSINESS QUALITY	High. 54 percent gross margin and ROIC near 20 percent every year since FY2021 despite flat operating margin.
FINANCIAL QUALITY	Good. Operating cash flow exceeds net income, but dividends consumed all FY2025 free cash flow and goodwill plus intangibles exceed equity.
COMPETITIVE POSITION	Moderate to strong. Leading snack distribution and international beverage concentrate, contested in US beverages where the share is about 16 percent against 20 percent for Coca-Cola.
MANAGEMENT	Mixed. Long-tenured CEO and a new CFO; guidance was cut within eight months and an activist shareholder has set the agenda; compensation and ownership not retrieved.
INDUSTRY	Mature with pockets of growth; volume pressure in North America, growth in international and functional categories.
VALUATION	Reasonable. 15.8 times consensus core EPS, 11.5 times EV/EBITDA and a 5.8 percent free cash flow yield; scenario range USD 88 to USD 189 around a base of USD 130.
TECHNICAL AND MARKET STRUCTURE	Weak trend with low volatility: 22.7 percent below the 52-week high, near the 50-day average, neutral RSI.
PRINCIPAL RISK	Permanent loss of volume and margin in North America.
PRINCIPAL CATALYST	Evidence that volume stabilizes after the SKU and price actions, together with additional cost savings.
KEY VARIABLE	North American operating margin, which was 3.9 percent for PBNA in FY2025 (including impairment) and 13.3 percent in 2026 to date.
THESIS INVALIDATION	The investment thesis would become materially weaker if PBNA and PFNA volume declines persist for two more consecutive quarters, if group core operating margin falls below 14 percent on a trailing basis, if dividends exceed free cash flow again in FY2026, or if net debt exceeds 2.6 times EBITDA.

Category	Metric	Current	Prior year	3Y / 5Y trend

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 181.3bn	USD 212.2bn (FY2024)	USD 236.3bn (FY2023)
Market	Enterprise value	USD 222.5bn	USD 249.3bn (FY2024)	USD 270.9bn (FY2023)
Market	Share price	USD 132.63	Not retrieved	5Y total return minus 6.1%
Growth	Revenue growth	2.3% (FY2025)	0.4% (FY2024)	4.3% CAGR FY2021 to FY2025
Profitability	Gross margin	54.1% (FY2025)	54.6% (FY2024)	53.3% (FY2021)
Profitability	Operating margin	12.3% (FY2025)	14.0% (FY2024)	14.0% (FY2021)
Profitability	Net margin	8.8% (FY2025)	10.4% (FY2024)	9.6% (FY2021)
Profitability	ROE	42.9% (FY2025)	52.3% (FY2024)	51.7% (FY2021)
Profitability	ROIC	20.1% (FY2025)	21.4% (FY2024)	18.1% (FY2021)
Cash flow	Operating cash flow	USD 12.1bn (FY2025)	USD 12.5bn (FY2024)	USD 11.6bn (FY2021)
Cash flow	Free cash flow	USD 7.7bn (FY2025)	USD 7.2bn (FY2024)	USD 7.0bn (FY2021)
Leverage	Net debt / EBITDA	2.62x (FY2025)	2.18x (FY2024)	2.36x (FY2021)
Valuation	P/E	16.6x (trailing)	23.9x (FY2025)	31.2x (FY2021)
Valuation	EV/EBITDA	11.5x (trailing)	13.2x (FY2025)	18.9x (FY2021)
Valuation	P/FCF	17.3x (trailing)	25.6x (FY2025)	34.0x (FY2021)
Market	Beta	0.30 (5Y weekly)	Not retrieved	0.07 (3Y weekly)
Market	Volatility	21.9% (1Y)	Not retrieved	18.4% (5Y)
Market	Maximum drawdown	Minus 23.6% (current)	Not retrieved	Minus 29.8% (5Y)

Source: Alpha Vantage statements; StockAnalysis ratio history and statistics; analyst calculations. P/E, EV/EBITDA and P/FCF for FY2021 to FY2025 are the data provider's year-end values; current values are calculated at the 28 October 2026 close. FY2025 EBITDA includes the impairment charges.

G. Sources and Methodology

Data cross-check

Company-reported figures were compared with the statement data used here. FY2025 net revenue (USD 93,925m), operating profit (USD 11,498m), net income attributable to PepsiCo (USD 8,240m), operating cash flow (USD 12,087m) and capital spending (USD 4,415m) agree between the fourth quarter 2025 release and the data provider. For the nine months of 2026 the sum of the three quarters (revenue USD 68,898m, operating profit USD 11,496m) equals the company release; net income differs by USD 11m (USD 8,367m against USD 8,356m) because the provider includes non-controlling interests. One quarterly record from 2025 in the provider data duplicates another and was not used.

Fiscal periods differ: PepsiCo's fiscal year ended 27 December 2025 and its third quarter (12 weeks) ended 5 September 2026, while the data provider labels periods with calendar quarter ends. Market capitalization at the 28 October close (USD 132.63 times 1,367 million shares, USD 181.3bn) differs from the USD 183.4bn on the StockAnalysis page, which uses the 27 October price of USD 134.55; net debt of USD 41.2bn follows the company balance sheet and differs from the USD 40.7bn on the StockAnalysis page, which includes USD 11.2bn of cash and short-term investments. The company release is preferred for reported figures and the analyst calculation for market values. GAAP and core EPS differ and are not mixed: P/E multiples are shown on both bases. Core figures are management non-GAAP measures.

Source list

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Calculations

Market capitalization, enterprise value, trailing twelve month figures (Q4 2025 plus Q1 to Q3 2026), margins, returns on equity and assets, growth rates, turnover ratios, free cash flow (operating cash flow less capex), leverage and coverage ratios, price returns, volatility, beta, drawdowns and technical indicators were calculated by the analyst from the data above. The DCF, scenario values, sensitivities and reverse DCF are analyst estimates under the stated assumptions; WACC and terminal growth are assumptions. The 200-day average is approximated by the 40-week average of weekly closes.

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